CALDERWICK PUMP SYSTEMS LTD

Accounts Payable Procedure

Document code	FIN-AP-02
Version	2.0
Effective date	1 January 2025
Owner	Financial Controller
Operated by	Accounts Payable Lead
Classification	Internal

1. Purpose

This procedure explains how Calderwick Pump Systems Ltd receives, checks and pays supplier invoices. It aims to pay only for goods and services that were ordered, received and correctly invoiced, and to pay on time.

2. Receiving invoices

Suppliers send invoices to the accounts payable mailbox. Every invoice must quote a valid purchase order number, except invoices for utilities, rent and taxes. Invoices without a purchase order number are returned to the supplier within three working days.

3. Three-way match

Before an invoice is approved for payment, the finance system matches it against the purchase order and the goods receipt. If the invoice differs from the purchase order by more than 2% or USD 500, whichever is lower, it is put on hold and sent to the person who raised the order to resolve.

Invoices for services under a contract, such as maintenance, have no goods receipt. The contract owner confirms in the finance system that the service was delivered before the invoice is paid.

4. Service credits and deductions

When a contract owner claims a service credit from a supplier, the contract owner sends the written claim to accounts payable. Accounts payable deducts the credit from the next invoice of that supplier under the same contract and records the claim reference on the payment. If no further invoice is expected, accounts payable requests a credit note.

5. Payment terms and payment runs

Standard payment terms are 45 days from receipt of a valid invoice, unless the contract states other terms. Payment runs take place every Thursday. The Accounts Payable Lead prepares the run and the Financial Controller approves it; runs above USD 2 million also need the Chief Financial Officer.

6. Supplier bank details

New or changed supplier bank details are confirmed by calling the supplier on a phone number already held in the vendor master, never one given in the change request. The change is approved by the Financial Controller before the next payment run. This control protects against invoice fraud.

7. Month-end

All invoices received by the last working day of the month are entered by working day 3 of the next month. Accruals for goods and services received but not yet invoiced are posted by working day 4, and the month is closed by working day 5.